

NABFINS Limited

October 07, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Issuer rating	NA	0.00	CARE AAA; Stable	Reaffirmed
Long-term bank facilities	RBI	5,500.00	CARE AAA; Stable	Assigned

Details of instruments/facilities in Annexure-1.

Issuer ratings: There is no instrument being rated and hence, Regulator of the Instrument is not applicable. Rating scale and definitions are being followed as stipulated in Securities and Exchange Board of India (SEBI) Master Circular for Credit Rating Agencies (CRAs).

Rationale and key rating drivers

Ratings assigned to long term bank facility and issuer rating reaffirmed to NABFINS Limited (NABFINS), a non-banking financial company-microfinance institution (NBFC-MFI), derive strength from its strong parentage, being promoted and majority-owned (69.77% stake) by National Bank for Agriculture and Rural Development (NABARD). NABFINS plays a strategic role in advancing NABARD's rural financial inclusion mandate through direct microfinance lending to low-income households, primarily through joint liability group (JLG) model and self-help group (SHG) through business intermediaries. NABFINS benefits from demonstrated managerial linkages, including senior officers deputed from NABARD, Board representation, access to NABARD refinance, and adequate capitalisation.

These strengths largely offset risks arising from NABFINS' modest scale of operations, geographical and product concentration, and exposure to inherently high-risk microfinance segment.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Not applicable

Negative factors

- Deterioration in credit profile of the parent, NABARD.
- Dilution in stake of NABARD below 51% or dilution in expected support from, and strategic importance to NABARD.

Analytical approach: Standalone

CARE Ratings Limited (CareEdge Ratings) has taken standalone approach for analysing NABFINS, while also factoring in need-based capital support and strategic importance to its parent entity, NABARD, and operational and managerial linkages between them.

Outlook: Stable

Stable outlook factors in CareEdge Ratings' expectation that NABFINS will continue to receive need-based support from the NABARD and will remain a strategically important entity for NABARD. It reflects expectation that NABFINS will profitably scale up its portfolio while maintaining comfortable capitalisation and asset quality.

Detailed description of key rating drivers

Key strengths

Strong parentage and strategic importance to NABARD

Established in 1997, NABFINS commenced its microfinance operations in 2009 and obtained its NBFC-MFI licence from the Reserve Bank of India (RBI) in 2015. It is promoted, and majority owned (69.77%) by NABARD with additional shareholding from public

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

sector banks and state entities. The company plays a pivotal role in advancing NABARD's agenda of rural financial inclusion by directly providing microfinance to low-income households, primarily women borrowers, through SHG and JLG models.

NABFINS benefits from its strong parentage, with NABARD holding a majority stake alongside other public sector banks and state government entities. Support from parent and other shareholders was demonstrated afresh in Q1FY27 through a ₹300-crore rights issue, which lifted the tangible net worth (TNW) to ₹910 crore as on June 30, 2026, from ₹587 crore as on March 31, 2026. The company also has access to significant refinance support from NABARD, which remains its primary source of funding. NABFINS benefits from strong financial, managerial, and governance linkages with NABARD, including deputation of senior management, Nominee Directors on the Board, and periodic assistance. Its direct lending approach differentiates it from wholesale-focused peers, underscoring its strategic importance in serving underserved rural households.

Given NABFINS' key role in NABARD's financial inclusion strategy, CareEdge Ratings expects continued financial and managerial support from NABARD, ensuring its long-term stability and alignment with rural development goals.

Adequate capitalisation metrics

NABFINS maintains an adequate capital position, supported by internal accruals and parent backing. TNW rose sharply to ₹910 crore as on June 30, 2026 (March 31, 2026: ₹587 crore; March 31, 2025: ₹574 crore), driven predominantly by the ₹300 crore equity infusion through rights issue in Q1FY27, as internal accretion remained muted in FY26, considering elevated credit costs. NABARD remains the principal source of funding through refinance, which accounted for 100% of NABFINS' borrowings at ₹3,062 crore outstanding as on March 31, 2026, and ₹3,038 crore as on June 30, 2026. In the near term, as indicated by the management, the company's funding requirements will continue to be met entirely through NABARD; while this ensures funding continuity at competitive rates, it also results in a concentrated funding profile. In medium term, NABFINS is exploring for external debt with cap of 1x of its net worth as of now.

The company's gearing improved materially to 3.34x as on June 30, 2026, from 5.22x as on March 31, 2026 (March 31, 2025: 5.28x), reflecting the capital infusion alongside a broadly stable borrowing book. Overall capital adequacy ratio (CAR) stood at 16.25% as on June 30, 2026 (March 31, 2026: 16.66%; March 31, 2025: 16.46%), with Tier I CAR at 15.17%.

CareEdge Ratings expects continued timely and need-based capital support from NABARD. The enhanced capital buffer provides headroom for growth in the medium term and cushions the balance sheet against residual asset quality stress in the microfinance portfolio.

Subdued profitability in FY26, due to elevated credit costs; early signs of normalisation in Q1FY27

NABFINS' earnings profile weakened further in FY26, reflecting the sector-wide stress in microfinance. The company reported a profit after tax (PAT) of ₹15 crore on a total income of ₹636 crore in FY26, against ₹35 crore on ₹661 crore in FY25 and ₹145 crore on ₹531 crore in FY24. Total income declined 3.8% year-over-year (y-o-y) as the company pursued selective disbursements, which compressed the yield on advances to 16.93% (FY25: 19.19%) and the net interest margin (NIM) to 11.13% (FY25: 12.49%). Pre-provision operating profit (PPOP) moderated to ₹185 crore in FY26 from ₹219 crore in FY25, as operating expenses rose 9.8% y-o-y to ₹235 crore and the cost-to-income ratio deteriorated to 55.87% (FY25: 49.50%) on a broadly flat asset base. Credit costs remained elevated at 4.43% of average total assets (ATA) in FY26 (FY25: 4.56%), with provisions of ₹162 crore largely absorbing operating profitability. Consequently, return on total assets (ROTA) declined to 0.41% in FY26 from 1.03% in FY25, and return on net worth (RONW) fell to 2.58% from 6.11%.

However, performance improved in Q1FY27, with the company reporting PPOP of ₹79 crore and PAT of ₹23 crore, aided by an improvement in yield on advances to 20.62% (annualised), a higher NIM of 13.51% (annualised) and better operating leverage, with the cost-to-income ratio at 40.19%. Credit costs, though still elevated, moderated to an annualised 3.76% of ATA. Accordingly, annualised ROTA improved to 2.43% and annualised RONW to 12.44%. CareEdge Ratings notes that sustainability of this improvement over subsequent quarters remains to be demonstrated.

Key weaknesses

Modest scale of operations with geographical concentration

NABFINS' portfolio remains concentrated in the microfinance segment with direct lending to low-income households, primarily women borrowers, through SHGs/JLGs in rural and semi-urban areas, advancing NABARD's financial inclusion mandate. The company's assets under management (AUM) stood at ₹3,711 crore as on June 30, 2026 (March 31, 2026: ₹3,599 crore; March 31, 2025: ₹3,610 crore). Growth stalled in FY26, with AUM broadly flat y-o-y as disbursements declined by 13.8% to ₹2,657 crore (FY25: ₹3,082 crore), considering a calibrated and selective disbursement approach adopted in response to stress in the

microfinance segment, alongside the transition to a new software platform. Disbursements of ₹770 crore in Q1FY27, supported a 3.1% quarter-on-quarter (q-o-q) increase in AUM, indicating a gradual resumption of growth supported by branch expansion (569 branches), new state entries, and higher disbursements.

Operations remain geographically concentrated, with top three states, Tamil Nadu (25.96%), Bihar (16.47%), and Karnataka (12.39%), accounting for 54.82% of the on-book portfolio as on June 30, 2026. Given the target borrower profile and relatively short seasoning of the expanded portfolio, geographic concentration continues to expose the company to region-specific risks.

Going forward, NABFINS intend to deepen its presence in existing geographies and expand further into under-penetrated states, supported by NABARD refinance. While reliance on a single product segment accentuates concentration risk, CareEdge Ratings notes that this is partly offset by the company's demonstrated track record in microfinance lending. NABFINS' ability to sustain high growth while maintaining asset quality and managing concentration risk will remain a key monitorable.

Weakening asset quality susceptible to inherent risk in microfinance sector

NABFINS operates in the structurally high-risk microfinance segment, extending collateral-free loans to rural households with annual incomes up to ₹3 lakh. This model exposes the company to event-based risks, such as socio-political disruptions, natural calamities, and regulatory changes. Sector-wide pressures in FY25 and FY26, including borrower over-leverage, localised debt waiver campaigns, high staff attrition, and climatic challenges have further weighed on repayment behaviour. In addition, the traditional strengths of the JLG model are weakening, with lower centre attendance and reduced peer pressure, leading to rising stress across the industry.

Against this backdrop, NABFINS' gross stage 3/net stage 3 (GS3/NS3) assets stood at 5.55%/2.31% as on March 31, 2026, against 5.38%/2.55% as on March 31, 2025, and 2.13%/0.51% as on March 31, 2024. Headline GS3 remained largely range-bound in FY26; however, this was aided by write-offs of 4.23% of gross advances undertaken during the year, and the one-year lagged GS3 of 5.53% indicates that underlying slippages remained elevated. As on June 30, 2026, GS3 was marginally higher at 5.61%, while NS3 improved to 1.48%, considering higher provisioning coverage, with net stage 3 assets declining to ₹52 crore from ₹79 crore as on March 31, 2026. Reflecting the larger capital base and improved coverage, unprovided net stage 3 assets moderated to 5.71% of net worth as on June 30, 2026, from 13.46% as on March 31, 2026. Going forward, asset quality will remain a key sensitivity, given the borrower profile and sector risks. CareEdge Ratings takes comfort from NABARD's strong parentage, which provides demonstrated financial, managerial, and liquidity support. Material deterioration in asset quality or earnings, or adverse macro shocks, could exert negative pressure on NABFINS' credit profile and will remain a key monitorable.

Liquidity: Strong

The asset and liability management (ALM) statement as on June 30, 2026, exhibited no cumulative mismatches. As on June 30, 2026, cash and bank balances, which included investments in fixed deposits, stood at ₹424 crore, including deposits earmarked for statutory reserves. Scheduled collections for the next six months stood at ₹1,607 crore, against scheduled debt obligations for the same period of ₹312 crore. Liquidity comfort is derived from the parentage of NABARD, with on-demand refinancing facilities and access to need-based financial support. This institutional backing significantly enhances NABFINS' financial flexibility and ability to meet short-term obligations.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

[Issuer Rating](#)

[Notching by Factoring Linkages in Ratings](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

NABFINS (formerly NABARD Financial Services Limited) is a subsidiary of NABARD. It is registered with the RBI as a NBFC-MFI and operates as a systemically important non-deposit taking NBFC. Headquartered in Bengaluru, NABFINS is promoted by NABARD with equity participation from the Government of Karnataka, Canara Bank, Union Bank of India, Bank of Baroda, Federal Bank, and Dhanlaxmi Bank. As on June 30, 2026, NABFINS had a TNW of ₹910 crore, with NABARD holding a 69.77% stake. The company's core mandate is to provide affordable, client-centric financial services to low-income households and the unorganised sector, with a strong focus on financial inclusion. NABFINS operates across 19 states and one union territory through 569 branches and is associated with 98 business correspondents.

Brief Financials of NABFINS – Standalone (₹ crore)	31-03-2025	31-03-2026	30-06-2026
	A	A	UA
Total income	661	636	193
Profit after tax (PAT)	35	15	23
Assets under management (AUM)	3610	3599	3711
On-book gearing (x)	5.28	5.22	3.34
AUM / tangible net-worth (TNW) (x)	6.29	6.13	4.08^
Gross non-performing assets (NPA) / gross stage 3 (%)	5.38	5.55	5.61
Return on managed assets (ROMA) (%)	1.03	0.41	2.43*
Capital adequacy ratio (CAR) (%)	16.46	16.66	16.25

A: Audited; UA: Unaudited; Note: These are latest financial results available.

* Annualised

^ ₹300-crore infusion was reflected as share application money pending allotment as on June 30, 2026, with the shares subsequently allotted on July 07, 2026. CareEdge Ratings has included the amount in TNW as on June 30, 2026.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based-Long Term	RBI	NA	Proposed	-	-	-	2,162.00	CARE AAA; Stable
Fund-based-Long Term	RBI	NA	-	-	-	September 30, 2030	3,338.00	CARE AAA; Stable
Issuer Rating-Issuer Ratings	NA	NA	-	-	-	-	0.00	CARE AAA; Stable

NA: Not applicable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Issuer Rating-Issuer Ratings	LT	0.00	CARE AAA; Stable	-	1)CARE AAA; Stable (08-Oct-25)	-	-
2	Fund-based-Long Term	LT	5500.00	CARE AAA; Stable	-	-	-	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: 044-28501001 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Vineet Jain Senior Director CARE Ratings Limited Phone: +91 22 6754 3623 E-mail: vineet.jain@careedge.in Hardik Manharbhai Shah Director CARE Ratings Limited Phone: +91 22 6754 3591 E-mail: hardik.shah@careedge.in Jitendra Meghrajani Associate Director CARE Ratings Limited Phone: +91 22 6754 3526 E-mail: Jitendra.Meghrajani@careedge.in
---	--

About us:

Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

Disclaimer:

This disclaimer pertains to the ratings issued and content published by CARE Ratings Limited ("CareEdge Ratings"). Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. Any opinions expressed herein are in good faith and are subject to change without notice. The rating reflects the opinions as on the date of the rating. A rating does not convey suitability or price for the investor. The rating agency does not conduct an audit on the rated entity or an independent verification of any information it receives and/or relies on for the rating exercise. CareEdge Ratings has based its ratings/outlook on the information obtained from reliable and credible sources. CareEdge Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. The users of the rating should rely on their own judgment and may take professional advice while using the rating in any way. CareEdge Ratings shall not be liable for any losses that user may incur or any financial liability whatsoever to the user of the rating. The use or access of the rating does not create a client relationship between CareEdge Ratings and the user.

CAREEDGE RATINGS DISCLAIMS WARRANTY OF ANY KIND, EXPRESS, IMPLIED OR OTHER WARRANTIES OR CONDITIONS, TO THE EXTENT PERMITTED BY APPLICABLE LAWS, INCLUDING WARRANTIES OF MERCHANTABILITY, ACCURACY, COMPLETENESS, ERROR-FREE, NON-INFRINGEMENT, NON-INTERRUPTION, SATISFACTORY QUALITY, FITNESS FOR A PARTICULAR PURPOSE OR INTENDED USAGE.

Most entities whose bank facilities/instruments are rated by CareEdge Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CareEdge Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. CareEdge Ratings does not act as a fiduciary by providing the rating. The ratings are intended for use only within the jurisdiction of India. The ratings of CareEdge Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades. CareEdge Ratings has established policies and procedures as required under applicable laws and regulations which are available on its website.

Privacy Policy applies. For Privacy Policy please refer to https://www.careratings.com/privacy_policy

© 2026, CARE Ratings Limited. All Rights Reserved.

This content is being published for the purpose of dissemination of information required as per applicable law and regulations and CARE Ratings Limited holds exclusive copyright over the same. Any reproduction, retransmission, modification, derivative works or use or reference to the contents, in whole, in part or in any form, is prohibited except with prior express written consent from CARE Ratings Limited.

**For detailed Rating Report and subscription information,
please visit www.careratings.com**